

quarterly or half yearly periods. This leads to interest not participating in cumulative growth and you have a higher probability of using the interest on "other unwanted expenses."

- I would advice NOT to choose to automatically renew the FD. Instead you should choose an option to transfer the matured amount back to your savings account. If you have online account, it just takes one or two minutes to create a new FD after logging into your account.
- There are various reasons for not going in for an automatic renewal facility.
 - First, it feels good to see your money growing and flowing (with interest) from FDs back to your savings account. This feeling of money growing is a vital boost to your dream of financial freedom.
 - You may want to change the period or amount of FD to get the maximum interest rate prevalent at the time of setting up the next FD. For example, a 1 year 16 day FD may have given you the maximum benefit last year but this year, it may be 2 years and 16 days or it may be 1 year and 20 days. If we automatically renew it, we will have no control over the rate of interest.
 - You may want to rotate your money across different investment tools in your portfolio depending on the market scenario. For example, if you feel that some stocks are really available at a "good price" and you have a rotating fund through FDs, it may be better to move the money in stocks or mutual funds and balance your portfolio. This liquidity comes in very handy.
 - You could also utilize this opportunity to add some more "sundry money" to the matured amount and set up a new FD. For example, suppose a FD worth ₹10,000 matured and gave you ₹10,900. Then instead of renewing the FD at ₹10,900, it is better typically round it off to ₹11,000 and setup a new FD. These small amounts of money that you keep adding to each FD over and above the interest you accumulate get "really large" as we move along. The best part is that they do